Lego have responded to technology, quality expectations and corporate social responsibility through their use of technology, quality management and performance objectives. These strategies have helped Lego ~~reduce~~ reduce costs, improve quality and improve their ethical responsibility.

Technology and quality expectations (QE) have had a major impact on Lego. Technology refers to the way a business can adapt, change and control their environment. QE of customers are influenced by technology and innovations by the business and its competitors. These expectations have been changing over time.

(a factor of the business that is not easily duplicated by competitors)

Lego has built its competitive advantage on the quality of their Lego brick and that every lego brick is interchangeable. To maintain their competitive advantage meet quality expectations and utilise technology, Lego has implemented the strategies of technology and quality management.

These strategies can be observed on two performance objectives:

1. Cost: The expenses incurred during the operating process
2. Quality: Free from defects and complying with Mastering Specifications.

Technology consists of two factors: established technology (commonly used in the market place within the operations (OPS) function) and leading edge technology (most advanced and innovative aspect of OPS).

Lego Log used established technology to schedule and control (compare a process to the objective). In each of Lego's factories they have a white board system to schedule what products are made, painted and packaged. Lego also have a meeting every Friday, numbers relating to performance objectives are written on the white board: green for good numbers and red for bad numbers.

Legos main competitive advantage comes from the use of leading edge technology (LET) in the manufacturing process. Lego use Computer aided manufacture and design. Lego also use orbotron marking machines to make the product and robots to paint, move and package products. Through the use of this technology Lego has been able to achieve a 0.00002% defect rate and a 0.0002mm precision. Legos LET means they only need 3 people to run 64 marking machines, helping reduce wage costs and helping double revenue per employee.

Lego have been able to effectively reduce costs, maintain Competitive Advantage (CA) and meet Quality expectations through their use of technology. This is one of the reasons Lego returned to profitability in 2005.

Quality management (QM) ensures a product or service is consistent. It

Consists of: Quality control (having in place processes to monitor (record data) and control), quality assurance (having a documented system of processes and controls in relation to quality) and quality improvement (~~having~~ creating a culture of continuous improvement in relation to quality).

Lego take samples of their plastic granulate to ensure the end product is of the highest quality. Lego bricks are weighed & this throughout the production process. Random samples are also taken to ensure they meet the 0.000.2mm variance. Through Lego's use of technology in the quality control process they have been able to achieve a 0.00002% defect rate with only 1 recall in the last decade.

project plans documented all of Lego's process. Lego's quality management documentation is accredited with ISO 9001. The Lego continuous improvement function,

aim to create a culture of continuous improvement in relation to quality.

Through Lego's implementation of QM they have been able to reduce costs by reducing warranties and recalls, maintain their CA and meet quality expectations. This helped Lego increase their profit from 2005 (4.5 billion DKK) to 2006 (12.1 billion DKK).

Corporate social responsibility (CSR) has also affected Lego. ~~CSR is the driver~~ CSR is going beyond Legal compliance (Legal regulation business must meet these regulations) ~~and~~ to ethical responsibility (go further than the law requires).

Lego has used performance objectives to ~~go~~ implement ethical & responsibility. Lego set objectives on how much energy they use and where it comes from and how much waste ~~the~~ their product creates. Lego does this to address the tripple bottom line (TBL).

The TBL takes into account net profit, social responsibility and environmental sustainability, this will change the traditional and traditional products operations used. This can be applied on how well Lego met their performance objectives.

Lego have two main energy goals: to run of sustainable energy and reduce the amount of energy their OPS process used. ~~Lego~~ OPS at Lego have taken over running of a wind farm and Lego has met their objective of running of sustainable energy 3 years early this year. Lego also use equipment, factories and cooling systems to reduce energy. Their goal is to reduce energy by 2.5% every year. Lego has supported that goal as operations has reduced energy consumption by 30% from 2007.

Lego have many processes in place to reduce waste. Lego's ~~head~~ ~~goals~~ Leadboard is forest Stewardship Council

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verified, meaning all of Leyo's Cardboard comes from Sustainable Forests. Leyo are reducing the ~~Size~~ Size of their Packaging, reducing cardboard usage by 6,000 Tons. Operations at Leyo have to find new ways of recycling, Leyo aim is to recycle 100% of this input. At the Moment operations recycle 90% of input. Leyo's Major goal is to use Sustainable Materials to build Leyo ~~bikes~~ bikes by 2030. Operations is working with marketing to find a new material that will be able to be used in the manufacturing Process.

Leyo has been able to effectively respond to CSR as it has reached most of its ethical Goals and it is the Reason Leyo is ranked number 1 on the Global Corporate Social Responsibility List.

Leyo has used operations Strategies very effectively to respond to to the influences of technology, quality expectations and Corporate Social responsibility. This was shown through a reduction in costs, improved Quality and improved ethical responsibility.

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